

HSBC

4Q was mixed

Earnings Review

Key takeaways

- HSBC reported PBT of USD 6.8bn this quarter, hit by a large restructuring charge of USD 1.8bn.
- All quiet on the risk front, with lower provisions (USD 0.9bn) this quarter. Slight upgrades to 2026 numbers.
- The report is likely neutral for spreads today. We see it as a bit mixed.

\$1.8bn in charges but some progress

In our view, this was a bit of a mixed quarter from HSBC. PBT was \$6.8bn on a reported basis, with the numbers apparently better than forecasts and with some upgrades to guidance. On the other hand, there was another large restructuring/disposals charge of \$1.8bn which depressed the quarter and show the bank remains a work-in-progress. Return on tangible is guided to 17% (though ex notable items) which would be in line with this quarter, ex-notables. We think the report should be neutral for spreads today.

Mixed revenue lines

NII was \$9.2bn +4.8%, buttressed by growth in structural hedge balances which ended the year at \$593bn – deposits continued to grow – we have over \$130bn in growth in the LTM, with a YE25 balance of \$1.7tn. NII is guided to \$45bn in 2026. Like Standard Chartered yesterday, the Wealth business had a weaker (-22%) quarter sequentially, with revenues of \$2.1bn in spite of \$7bn of Net New Money. Invested Assets were flat qoq at \$1.54t, although the growth for the year is an impressive +19%. The bank will change its definition of Net New Money next year to include Deposits in the Wealth business which will flatter the numbers, in our view.

Risk OK, capital down

There was a slight fall in consolidated NPLs and provisions came in at \$0.9bn below the \$1bn of the prior quarter which should reassure. We note that yoy HK non-performers increased to \$6.3bn (4Q24: \$4.6bn). Guidance for provisions is 40bps. They were 36bps in 4Q. Note that the reported CET1 ratio of 14.9% overstates the proforma 13.8% as a result of the Hang Seng acquisition – hence the muted guidance on overall distributions until the number returns to the guided 14-14.5% range. The bank's funding plan for this year on a gross basis sees \$20bn of senior Holdco, \$1bn of Tier 2 and \$4bn of AT1.

25 February 2026

High Grade Credit
United Kingdom
Banks

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Timestamp: 25 February 2026 02:47AM EST

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Valuation & risk

HSBC (HSBC)

We see a number of pressures on the bank in addition to the tough income generation environment and past peak net interest income, including costs and the future strategic direction of the bank (concern over China focus), and its configuration which make us more cautious. Although the mooted break-up of the bank is now behind us, we note the recently announced reorganisation which we see as spread neutral. Yet in senior cash the bank trades expensively, in our view, on better ratings and stronger technicals. One exception to this rule is in USD senior holdco, where we like the \$5.24% '31s which offer upside vs UK and European peers and look attractive.

In CDS, HSBC has tightened. We still think caution is warranted given the uncertainty (still) over Asia tariffs, in spite of the policy shift there recently and the historically messy reports from the group. 2026 guidance has been modestly upgraded. We are OW the Tier 2 \$7.399% which offers an attractive yield.

Downside risk for HSBC stems from China backdrop, patchy earnings, Asia focus in a world of potentially uncertain trade tariffs. Also if Hong Kong and the UK economy perform worse than expected. Group restructuring is ongoing but we are clear a bank more focused on Hong Kong isn't necessarily a credit positive at this juncture, especially given the risk of an uptick in anti-China action. We see rather uneven capital outcomes. Upside risk is better profitability for the group and restructuring benefits.

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Security/Loan pricing

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	Amt		Ratings			Yield	Spread
Security		Maturity date	Moody's/S&P/Fitch	Price	Price date	(%)	(Govt+bps)
Subordinated, EUR, Y5:CDS	350				24-Feb-2026	9.59	79
Senior Unsecured, EUR, Y5:CDS	350				24-Feb-2026	9.59	42
6.1, Senior, USD, 2042:B	750	14-JAN-2042	A3/A-/A+	109.13	24-Feb-2026	5.25	77
SLA, EUR, Y5:CDS					24-Feb-2026		42
8,, USD, Perp/2049:B	2,000	31-DEC-2049	Baa3/NR/BBB	105.67	24-Feb-2026	5.03	153
7.399, Subordinated, USD, 2034:B	2,000	13-Nov-2034	Baa1/BBB/A-	114.42	24-Feb-2026	5.11	126
5.24, Senior, USD, 2031:B	2,250	13-May-2031	A3/A-/A+	103.41	24-Feb-2026	4.34	78
.641,, EUR, 2029:B	1,000	24-SEP-2029	A3/A-/A+	94.80	24-Feb-2026	2.76	69
4.6,, USD, Perp/2049:B	1,500	31-DEC-2049	Baa3/NR/BBB	95.24	24-Feb-2026	5.65	201

For pricing information refer to "Other Important Disclosures" below.

B=Bond; L=Loan; CS=Capital Security (Not including Equity Preferred); CDS=Credit Default Swap; EP=Equity Preferred

Disclosures

Important Disclosures

Credit opinion history

HSBC / HSBC

Security	Date ^{R1}	Action	Recommendation	Price
Subordinated, EUR, Y5:CDS	31-Jan-2025		Neutral	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Neutral	
Senior Unsecured, EUR, Y5:CDS	31-Jan-2025		Neutral	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Neutral	
6.1, Senior, USD, 2042:B	31-Jan-2025		Marketweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Marketweight	
SLA, EUR, Y5:CDS	31-Jan-2025		Buy Protection	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Buy Protection	
8,, USD, Perp/2049:B	31-Jan-2025		Marketweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Marketweight	
7.399, Subordinated, USD, 2034:B	31-Jan-2025		Overweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
5.24, Senior, USD, 2031:B	19-May-2025	Initial	Overweight	100.08
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
.641,, EUR, 2029:B	18-Aug-2025	Initial	Overweight	93.58
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
4.6,, USD, Perp/2049:B	24-Nov-2025	Initial	Overweight	93.73

Table reflects credit opinion history as of previous business day's close.^{R1} First date of recommendation within the last 36 months, if for an issuer or within the last 12 months, if for a security or loan. The investment opinion system is contained at the end of the report under the heading "BofA Global Research Credit Opinion Key."

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R2}	Count	Percent
Buy	130	38.12%	Buy	106	81.54%
Hold	158	46.33%	Hold	134	84.81%
Sell	53	15.54%	Sell	46	86.79%

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